

# MARKETING MANAGEMENT

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COMPREHENSIVE STUDY GUIDE WITH DETAILED EXPLANATIONS & EXAMPLES

MMS 2024 - Complete Exam Preparation Material

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## CHAPTER 1: INTRODUCTION TO MARKETING MANAGEMENT

### 1.1 WHAT IS MARKETING?

Marketing is one of the most misunderstood business functions. Many people confuse it with selling or advertising, but marketing is much broader and more strategic.

#### **Definition by American Marketing Association (AMA):**

"Marketing is the activity, set of institutions, and processes for CREATING, COMMUNICATING, DELIVERING, and EXCHANGING offerings that have VALUE for customers, clients, partners, and society at large."

Breaking down the definition:

- CREATING - Developing products/services that fulfill customer needs
- COMMUNICATING - Informing customers through advertising, PR, etc.
- DELIVERING - Making the product available at the right place and time
- EXCHANGING - The transaction where value is exchanged
- VALUE - The benefit customers receive relative to what they pay

#### **Marketing is both an ART and a SCIENCE:**

- ART - Creative aspects like designing advertisements, crafting brand stories
- SCIENCE - Analytical aspects like market research, data analysis, consumer behavior studies

#### **Peter Drucker's Famous Quote:**

"Selling is only the tip of the marketing iceberg. The aim of marketing is to know and understand the customer so well that the product or service fits him totally and SELLS ITSELF."

**EXAMPLE - Apple iPhone:** Apple doesn't just sell phones - they understand that customers want status, simplicity, and seamless experience. The product is designed so well that it practically sells itself. People queue outside stores without Apple doing aggressive selling.

**EXAMPLE - Maggi Noodles:** Nestle understood that Indian working women and students needed quick, tasty food. The '2-minute noodles' concept addressed this need perfectly. 'Maggi' became synonymous with instant noodles in India.

### 1.2 WHAT CAN BE MARKETED? (10 ENTITIES)

1. GOODS: Smartphones, Cars, FMCG products, Clothing
2. SERVICES: Banking, Airlines, Healthcare, Education, Hospitality
3. EVENTS: IPL matches, Kumbh Mela, Amazon Great Indian Festival
4. EXPERIENCES: Disney World, Ferrari World, Theme parks, Adventure sports
5. PERSONS: Virat Kohli, Shah Rukh Khan, Influencers (personal branding)

6. PLACES: 'Incredible India', 'Kerala - God's Own Country', 'Vibrant Gujarat'
7. PROPERTIES: Real estate, Mutual funds, Insurance, Stocks
8. ORGANIZATIONS: Tata Group (trust), Infosys (quality), NGOs
9. INFORMATION: Google Search, News media, Online courses
10. IDEAS: Swachh Bharat, Beti Bachao, Anti-smoking campaigns

### 1.3 NEED, WANT, AND DEMAND

#### NEED - The Basic Human Requirement

Needs are basic human requirements essential for survival. They exist naturally and are NOT created by marketers.

Types: Physiological (food, water), Safety (security), Social (belonging), Esteem (status), Self-actualization (growth)

**IMPORTANT:** Marketers DO NOT create needs - they exist naturally. Marketers identify existing needs and create products to satisfy them.

#### WANT - The Specific Form of Need

Wants are specific objects that satisfy needs. Shaped by CULTURE and PERSONALITY.

**EXAMPLE - Same Need, Different Wants:** NEED: Hunger | American WANT: Burger, Pizza | Indian WANT: Roti, Dal, Rice | Japanese WANT: Sushi, Ramen

#### DEMAND - Want Backed by Purchasing Power

Demand = Want + Ability to Pay + Willingness to Pay

**EXAMPLE - iPhone in India:** Millions WANT iPhone, but at Rs.80,000+ price, DEMAND is limited. Apple's market share by volume is only 3-4% while affordable brands dominate.

**EXAMPLE - Tata Nano Failure:** Target customers WANTED a car but didn't create DEMAND because: 1) 'Cheap car' affected status, 2) Safety concerns, 3) Those who could afford didn't want to be seen in 'cheapest car'. Want existed but demand didn't materialize.

### 1.4 SELLING VS MARKETING

| SELLING CONCEPT             | MARKETING CONCEPT           |
|-----------------------------|-----------------------------|
| Starts with FACTORY/PRODUCT | Starts with MARKET/CUSTOMER |
| Focus on existing products  | Focus on customer needs     |
| 'Sell what we make'         | 'Make what we can sell'     |
| Short-term focus            | Long-term focus             |
| Push strategy               | Pull strategy               |
| One-time transaction        | Building relationships      |
| Profit through volume       | Profit through satisfaction |

**EXAMPLE - Selling Approach - Old LIC Agents:** Traditional agents pushed policies to meet targets, often selling unsuitable products. Focus on commission, not customer needs. Result: Policy lapses, distrust.

**EXAMPLE - Marketing Approach - PolicyBazaar:** First understands needs, compares options, recommends best fit. Builds trust, customers return and refer. Long-term relationship.

**EXAMPLE - Kodak's Failure:** Kodak was excellent at SELLING film cameras. They were so focused on selling existing products that they ignored digital photography. They actually INVENTED the digital camera in 1975 but didn't pursue it! A marketing-oriented company would have asked: 'What do customers really need?' (capturing memories) not 'How do we sell more film?'

## 1.5 EVOLUTION OF MARKETING CONCEPTS

### 1. PRODUCTION CONCEPT (1850-1900)

Philosophy: Consumers prefer products that are widely AVAILABLE and INEXPENSIVE.

Focus: Mass production, efficiency, low costs

**EXAMPLE - Henry Ford Model T:** 'Any color as long as it's black.' Focus purely on efficient mass production. No customization.

**EXAMPLE - Jio (Modern):** Made data cheap (Rs.10/GB vs Rs.250/GB) and widely available. Focus on capacity and distribution.

### 2. PRODUCT CONCEPT (1900-1930)

Philosophy: Consumers prefer products with best QUALITY, PERFORMANCE, FEATURES.

Danger: 'Marketing Myopia' - falling in love with product, ignoring customer needs

**EXAMPLE - Swiss Watches:** Focused on quality mechanical watches, ignored cheap quartz watches from Japan.

### 3. SELLING CONCEPT (1930-1950)

Philosophy: Consumers won't buy enough unless company does AGGRESSIVE SELLING.

Focus: Sales force, advertising, promotions, closing deals

**EXAMPLE - Timeshare Resorts:** 4-hour aggressive presentations, high pressure, limited-time offers. Classic selling concept.

### 4. MARKETING CONCEPT (1950 onwards)

Philosophy: Key is being MORE EFFECTIVE than competitors in creating and delivering CUSTOMER VALUE.

Four Pillars: Target Market, Customer Needs, Integrated Marketing, Profitability

**EXAMPLE - Amazon:** Jeff Bezos keeps empty chair in meetings representing 'the customer - most important person in the room.'

**EXAMPLE - Flipkart Early Days:** Founders personally delivered books on scooters to understand customer expectations firsthand.

## **5. SOCIETAL MARKETING CONCEPT (1970 onwards)**

Philosophy: Deliver satisfaction while maintaining CONSUMER and SOCIETY'S WELL-BEING.

Balance THREE considerations: Company Profits + Customer Satisfaction + Public Interest

**EXAMPLE - Body Shop:** No animal testing, fair trade, environmental responsibility. Proved ethical business can be profitable.

**EXAMPLE - Harmful Products:** Fast food (obesity), Gutkha (cancer), ACs (CFCs). Should companies sell just because customers want them?

## **6. HOLISTIC MARKETING CONCEPT (21st Century)**

Philosophy: EVERYTHING matters - broad, integrated perspective essential.

Components: Internal Marketing + Integrated Marketing + Relationship Marketing + Performance Marketing

**EXAMPLE - Holistic Failures:** SAHARA (legal/ethical), KINGFISHER (financial), SATYAM (fraud), NESTLE Maggi (safety), VOLKSWAGEN (emissions). Excelled in some areas, failed holistically.

## **1.6 MARKETING MYOPIA**

**Coined by: Professor Theodore Levitt (Harvard Business Review, 1960)**

Definition: Short-sighted, inward-looking approach focusing on PRODUCT rather than CUSTOMER NEED.

The Key Question: What BUSINESS are you in?

- MYOPIC: 'We are in railroad business' vs MARKETING: 'We are in transportation business'
- MYOPIC: 'We make cameras' vs MARKETING: 'We help capture memories'

**EXAMPLE - KODAK:** Dominated photography for 100+ years. INVENTED digital camera in 1975 but buried it because they were in 'film business' not 'memory capture business'. Filed bankruptcy 2012.

**EXAMPLE - NOKIA:** 50%+ global market share in 2007. Thought they were in 'mobile phone hardware business.' Apple redefined mobiles as 'pocket computers.' By 2013, sold to Microsoft.

**EXAMPLE - HMT Watches:** India's watch leader. Focused on quality mechanical watches. When quartz arrived, HMT was slow. Citizen, Seiko, Titan captured market. Closed 2016.

**IMPORTANT:** The cure: Define business in terms of CUSTOMER NEEDS, not products. Ask 'What problem do we solve?' not 'What products do we make?'

## CHAPTER 2: MARKETING ENVIRONMENT (PEST-ND)

### 2.1 TYPES OF MARKETING ENVIRONMENT

**INTERNAL ENVIRONMENT:** Factors within organization (controllable)

R&D, Production, HR, Finance, Location, Company Culture

**EXTERNAL ENVIRONMENT:**

MICRO: Suppliers, Customers, Intermediaries, Competitors, Public

MACRO: PEST-ND Analysis

### 2.2 PEST-ND ANALYSIS (Macro Environment)

#### P - POLITICAL/LEGAL ENVIRONMENT

Government policies, regulations, laws affecting business.

Key Bodies: FSSAI (food), TRAI (telecom), SEBI (capital markets), IRDA (insurance), ASCI (advertising)

**EXAMPLE - ITC Cigarettes:** Government mandated 85% health warning graphics on packets (up from 40%). ITC responded by diversifying - now 60% revenue from non-cigarette businesses. Aims to be #1 FMCG company.

**EXAMPLE - Swachh Bharat Impact:** Toilet cleaner market grew from 3-6% to 10-12%. RB India (Harpic, Dettol), HUL (Lifebuoy, Domex), Dabur (Sanifresh) all launched campaigns. Government policy created market opportunity.

**EXAMPLE - International Yoga Day:** Snapdeal launched yoga store (500+ products), VLCC conducted free sessions, Yatra offered yoga packages, Art of Living sold CDs on eBay. Government initiative created marketing opportunities.

**EXAMPLE - Multiplex Water Bottle Case:** NCDRC ruled multiplexes cannot stop patrons carrying water if they don't provide free water inside. Rupasi Multiplex ordered to pay Rs.11,000. Legal ruling affected multiplex policies nationwide.

#### E - ECONOMIC ENVIRONMENT

Factors affecting purchasing power: income, inflation, recession, interest rates.

**EXAMPLE - 7th Pay Commission (2016):** Increased government salaries by ~25%. Impact: 25% central + 20% state employees became eligible car buyers (>Rs.40,000/month). ~3 million employees became target for entry-level cars. Maruti (Alto, Swift) and Hyundai (i20) biggest beneficiaries.

**EXAMPLE - Real Estate Slowdown:** 7.5 lakh unsold apartments worth Rs.4 lakh crore across top 7 cities. Response: Developers reducing apartment sizes to make affordable.

## **S - SOCIO-CULTURAL ENVIRONMENT**

Values, attitudes, lifestyle, demographics, religious practices, cultural traditions.

**EXAMPLE - Mela Marketing:** India has 50,000+ villages and 200+ melas. Religious melas like Kumbh draw 5-8 crore people. HUL at Maha Pushkaram distributed cups that showed brand logo when filled with hot tea - people wanted to take cups home!

**EXAMPLE - Philips LED Ganesh Installation:** Created 26-foot Om and 13-foot Mushak using 6,380 LED bulbs. Showcased multiple power outputs (0.5W to 4W), colors, brightness levels. 'Touch and feel' experience during festival.

**EXAMPLE - Women Safety Market:** Concerns created new markets: Pepper sprays, stun guns, safety apps (15+ for Delhi women), Delhi Police 'Himmat' app, corporate self-defense training (60% increase in 5 years).

**EXAMPLE - ITC Right Shift for 45+:** 10 million households in 45+ demographic. By 2050, 40% of India will be 45+. High discretionary spending. Launched upma, oats, cookies, enriched atta targeting health-conscious older consumers.

## **T - TECHNOLOGICAL ENVIRONMENT**

Changes creating opportunities or threats: AI, digital transformation, automation.

Current Trends: ChatGPT/AI, 5G, Electric vehicles, E-commerce, Social media, Smart devices, Driverless vehicles, Big data

**EXAMPLE - Maruti Big Data Analytics:** Added 1 lakh+ customers using data: Identifies when customers ready to upgrade (cars >8 years old), tracks accident data for replacement sales, identifies families with college kids (second car opportunity).

## **N - NATURAL ENVIRONMENT**

Physical environment, weather, sustainability concerns.

**EXAMPLE - Coca-Cola Weather Impact:** Unseasonal rain in April-May (peak season) severely impacted sales. Northern India (50% of sales) affected. Production cut to 2-3 days/week. Response: Launched Fuze Tea to de-risk from seasonality (tea consumption isn't seasonal).

## **D - DEMOGRAPHIC ENVIRONMENT**

Population characteristics: size, age distribution, urbanization.

India: 142.8 crore population (crossed China), Median age ~28 years, 65% below 35, Rising urbanization and literacy

**EXAMPLE - Dabur Rejuvenation:** 135+ year old company with traditional products. Challenge: Appear relevant to youth. Response: Reduced marketing team average age from



42 to 35-36, changed advertising style, product innovation (Chyawanprash as candy/tablets), digital-first communication.

## CHAPTER 3: CONSUMER BEHAVIOR & MARKET RESEARCH

### 3.1 MARKET RESEARCH

**Definition:** Systematized effort to gain knowledge - original contribution to existing stock of knowledge.

**IMPORTANT:** "If you want to learn how a lion hunts, don't go to the ZOO, go to the JUNGLE." Study customers as PERSONS, not statistical constructs.

### 3.2 RESEARCH EXAMPLES

**EXAMPLE - VICKS VapoRub:** Research: Indian mothers worried about giving internal medicines to kids. Insight: Prefer external application. Response: Positioned as external rub for cold. Result: Trusted remedy for Indian mothers.

**EXAMPLE - TIDE Eastern Europe:** In-home visits revealed small flats with bathroom adjacent to living room - detergent smell permeated flat. Customers mentioned 'good cleansing' but hidden insight was need for pleasant fragrance. P&G developed Tide with enhanced fragrance.

**EXAMPLE - P&G Research Facility:** Built typical consumer's home and store 30 miles outside Cincinnati. Consumers participate in product design - have showers and give feedback on soap size/scent. Not testing ON consumers but designing WITH consumers.

**EXAMPLE - Maruti Big Data:** Added 1 lakh+ customers. Segments: 40% first-time, 30% replacement, 30% additional car buyers. Data identifies: upgrade timing, accident/damage opportunities, life stage (college kids = second car).

**EXAMPLE - Good Knight Dengue Research:** Finding: 85% know dengue is life-threatening BUT 92% unaware DAY mosquitoes cause dengue. 80% see daytime mosquitoes BUT only 8% use repellent in day. Campaign: 'Subah bolo Good Knight' - created new daytime usage occasion.

### 3.3 MEASUREMENT SCALES

- 1. NOMINAL:** Categories with no order (Gender, Religion, Brand used)
- 2. ORDINAL:** Ranked order, unequal intervals (Education level, Preferences)
- 3. INTERVAL:** Equal intervals, no true zero (Temperature, Attitude scores)
- 4. RATIO:** Equal intervals with true zero (Sales, Weight, Age)
- 5. LIKERT SCALE:** Summated scale (Strongly Disagree → Strongly Agree)

### 3.4 THE 4C/5C FRAMEWORK

| Component | Description                             |
|-----------|-----------------------------------------|
| CUSTOMERS | Target audience whose needs you fulfill |

|               |                                     |
|---------------|-------------------------------------|
| COMPETITORS   | Rivals targeting same customers     |
| COLLABORATORS | Partners helping serve customers    |
| COMPANY       | Your organization and capabilities  |
| CONTEXT       | External environment (PEST factors) |

### 3.5 NEW 4Cs FRAMEWORK (Digital Age)

**1. CO-CREATION (replaces Product):** Customers participate in product development

**EXAMPLE - Lego Ideas:** Fans submit designs, community votes, winners get produced. Creator gets 1% royalty.

**2. CURRENCY (replaces Price):** Dynamic pricing that fluctuates based on demand

**EXAMPLE - Uber Surge Pricing:** Same ride can cost Rs.200 or Rs.500 depending on demand.

**3. COMMUNAL ACTIVATION (replaces Place):** Peer-to-peer distribution

**EXAMPLE - Airbnb:** Instead of owning hotels, enables peer-to-peer accommodation sharing.

**4. CONVERSATION (replaces Promotion):** Two-way communication, customer-to-customer

**EXAMPLE - TripAdvisor:** Customers talk to each other. A 1-star drop can reduce bookings by 5-9%.

### 3.6 OMNICHANNEL MARKETING

**Definition:** Integration of ALL physical (offline) and digital (online) channels for UNIFIED customer experience.

**EXAMPLE - Tanishq Omnichannel:** Online = 10% direct sales, BUT 90% are leads converted in-store. Website: 80,000 leads/month, 1,000+ daily chats, 3 million monthly visitors. Omni-channel sales: Rs.1,100 crore (FY22). Strategy: Online research, offline purchase for high-value jewelry.

### 3.7 EXPERIENCE ECONOMY

Evolution: Commodities → Goods → Services → EXPERIENCES

**EXAMPLE - Starbucks:** Raw coffee beans: Rs.5/cup worth. Packaged coffee: Rs.10. Cafe coffee: Rs.50. STARBUCKS: Rs.350+. Same coffee costs 70x more because of 'Third Place' EXPERIENCE.

**EXAMPLE - Experience Centers:** Autostadt (Volkswagen delivery experience), Ferrari World (brand theme park), Museum of Ice Cream (experiential marketing)

Key Question: How can you make customers spend MORE TIME with your brand?



## CHAPTER 4: STP - SEGMENTATION, TARGETING, POSITIONING

### 4.1 SEGMENTATION

**Definition:** Dividing HETEROGENEOUS (diverse) market into HOMOGENEOUS (similar) sub-groups.

Why Segment? Limited resources, diverse needs, RIFLE approach better than SHOTGUN

**EXAMPLE - Car Market:** Nano (budget), Hatchback (young professionals), Sedan (families), SUV (adventure/status), Luxury (HNI). Same need (transportation), different segments.

### 4.2 SEGMENTATION BASES

**1. GEOGRAPHIC:** Nations, states, regions, cities, climate

**EXAMPLE - McDonald's:** India: McAloo Tikki (no beef). Japan: Teriyaki Burger. France: McBaguette.

**EXAMPLE - MTR Foods:** South: Convenience positioning. North: Confidence positioning ('authentic South Indian').

**2. DEMOGRAPHIC:** Age, gender, income, education, occupation

**EXAMPLE - Dove Age Segments:** Dove Baby (infants), Dove Original (adults), Dove Men+Care (males), Dove Pro-Age (older women).

**EXAMPLE - Taj Hotels Income Segments:** TAJ: Ultra-luxury (Rs.25,000+). VIVANTA: Upper upscale (Rs.8-15K). Gateway: Mid-market (Rs.4-7K). Ginger: Budget (Rs.1.5-3K).

**3. PSYCHOGRAPHIC:** Lifestyle, personality, values

**EXAMPLE - Royal Enfield:** Targets adventure seekers, freedom lovers, explorer personality - not just income or age. Both 25-year-olds and 55-year-olds united by lifestyle.

**EXAMPLE - Harley Davidson:** One word: FREEDOM. Targets middle-aged men seeking freedom/rebellion. Selling lifestyle, not motorcycles.

**4. BEHAVIORAL:** Occasions, benefits, usage rate, loyalty

**EXAMPLE - Cadbury Celebrations:** Repositioned chocolates for GIFTING occasions - Diwali, Raksha Bandhan, weddings. 'Kuch meetha ho jaaye'

**EXAMPLE - Toothpaste Benefit Segments:** Cavity protection (Colgate Strong Teeth), Whitening (Visible White), Sensitivity (Sensodyne), Fresh breath (Closeup), Herbal (Patanjali)

### 4.3 TARGETING

**Definition:** Selecting which segments to serve

Five Patterns:

- 1. SINGLE SEGMENT: Focus on one niche (Rolex = only luxury watches)
- 2. SELECTIVE: Multiple unrelated segments (Titan: watches, jewelry, eyewear)
- 3. PRODUCT: One product for many segments (Microsoft Office)
- 4. MARKET: Many products for one segment (Cello for students)
- 5. FULL COVERAGE: All segments, all products (Coca-Cola, HUL)

#### 4.4 POSITIONING

**Concept by:** Al Ries and Jack Trout (1981)

**Definition:** Creating DISTINCTIVE place in customer's MIND vs competitors.

**IMPORTANT:** "Positioning is NOT what you do to the PRODUCT. Positioning is what you do to the MIND of the prospect."

**EXAMPLE - One Word Positioning:** VOLVO = Safety. BMW = Driving pleasure. KITKAT = Break. FEVICOL = Strong bond. RAYMONDS = Gentleman. SURF EXCEL = Stain removal.

Positioning Framework: WHAT (benefit) + WHOM (target) + WHY (reason to believe)

**EXAMPLE - LIRIL:** WHAT: Freshness. WHOM: Young active people. WHY: Contains lime.

**EXAMPLE - DOVE:** WHAT: Moist skin. WHOM: Women with dry skin. WHY: 1/4th moisturizer.

#### 4.5 POP AND POD

**POP (Points of Parity):** Must-have features. Non-differentiating but ESSENTIAL.

Example: Every smartphone MUST have camera, touch screen, WiFi. Can't sell without them.

**POD (Points of Difference):** Unique features that DIFFERENTIATE from competitors.

**EXAMPLE - Dove:** POPs: Cleanses, lathers, trusted brand (same as competitors). PODs: 1/4th moisturizer, doesn't dry skin, Real Beauty campaign (unique).

**IMPORTANT:** Key Questions: Are POPs delivering must-haves? Are PODs strong enough? Can POPs become PODs?

#### 4.6 PERCEPTUAL MAP

**Definition:** Graphical representation of how customers perceive brands on key dimensions.

Uses: Visualize positions, identify GAPS (opportunities), plan repositioning

**EXAMPLE - Antacid Market:** Dimensions: Natural vs Medicinal (X), Low vs High Efficiency (Y). Digene/ENO (medicinal, high efficiency). Pudín Hara (natural, lower efficiency). GAP: Natural + High Efficiency = opportunity!



## CHAPTER 5: MARKETING MIX (4Ps)

### 5.1 OVERVIEW

**Definition:** Set of controllable marketing tools firm uses to get desired response.

Key Contributors: James Culliton (coined term), Neil Borden (popularized), Jerome McCarthy (4Ps), Robert Lauterborn (4Cs)

4Ps: PRODUCT (what you offer) + PRICE (what customer pays) + PLACE (where available) + PROMOTION (how you communicate)

### 5.2 PRODUCT

**Classification:**

- CONVENIENCE: Staples (regular), Impulse (unplanned), Emergency (urgent)
- SHOPPING: Compare before buying (clothing, appliances)
- SPECIALTY: Strong brand loyalty (Rolex, BMW)
- UNSOUGHT: Not actively sought (insurance, funeral services)

**Five Levels of Product:**

- 1. CORE: Fundamental benefit (Hotel = rest/sleep, Drill = holes)
- 2. BASIC: Minimum to function (room, bed, bathroom)
- 3. EXPECTED: What buyers normally expect (clean room, WiFi, toiletries)
- 4. AUGMENTED: Exceeds expectations, differentiates (welcome drink, spa, loyalty program)
- 5. POTENTIAL: Future possibilities (AI concierge, robot service)

**EXAMPLE - Natural Ice Cream Augmentation:** Only 3 ingredients (fruits, milk, sugar). Difficult flavors (custard apple, jackfruit). 'Prasadam' category (no egg). One new flavor EVERY WEEK. Made with boiled milk (3x longer). Highest range of fruit flavors in world.

**Product Mix Dimensions:**

- WIDTH: Number of product LINES (HUL: Personal care, Laundry, Foods, etc.)
- LENGTH: Total ITEMS in mix
- DEPTH: VARIANTS of each product (Lux: Pink, Purple, White, Gold)
- CONSISTENCY: How closely related lines are

### 5.3 PRICING STRATEGIES

**SKIMMING:** High initial price, lower over time (Apple iPhone)

**PENETRATION:** Low price to gain share fast (Jio launch)

**COMPETITIVE:** Match or beat competitors (Tata Nexon EV price cuts vs Mahindra XUV400)



## 5.4 DISTRIBUTION

**INTENSIVE:** As many outlets as possible (Coca-Cola, Maggi)

**SELECTIVE:** More than one but not all (Samsung, LG)

**EXCLUSIVE:** Very limited outlets (Rolex, Louis Vuitton)

## CHAPTER 6: PRODUCT LIFE CYCLE (PLC)

**Definition:** Succession of STRATEGIES as product goes through stages from introduction to decline.

Assumptions: Products have LIMITED LIFE, pass through DISTINCT STAGES, profits RISE and FALL, different STRATEGIES needed

### 6.1 FOUR STAGES

#### 1. INTRODUCTION:

Sales: Low, slow. Profits: Negative (heavy investment). Customers: Innovators. Competitors: Few.

Strategy: Build awareness, selective distribution, cost-plus or skimming pricing

**EXAMPLE - Current Examples:** 5G, Driverless cars, Plant-based meat, VR headsets

#### 2. GROWTH:

Sales: Rapidly rising. Profits: Rising. Customers: Early Adopters + Early Majority. Competitors: Growing.

Strategy: Maximize share, penetration pricing, intensive distribution

**EXAMPLE - Current Examples:** Electric vehicles, Smart watches, OTT platforms, Quick commerce

#### 3. MATURITY:

Sales: Peak but slowing. Profits: High but stabilizing. Customers: Middle Majority. Competitors: Stable/exiting.

Strategy: Defend share, competitive pricing, more intensive distribution

**EXAMPLE - Current Examples:** FMCG products, Soft drinks, Two-wheelers, Smartphones

#### 4. DECLINE:

Sales: Declining. Profits: Eroding. Customers: Laggards. Competitors: Declining.

Strategy: Reduce expenditure, milk brand, phase out weak products

**EXAMPLE - Current Examples:** Feature phones, Landlines, CDs/DVDs, Print newspapers

### 6.2 EXTENDING MATURITY

Strategies to extend product life:

- Increase USERS - new segments (Johnson's Baby for adults)
- Increase USES - new applications (Fevikwik: professional to home repairs)

- Increase OCCASIONS - new situations (Cadbury for gifting)
- Increase FREQUENCY - more often (brush twice daily)

## CHAPTER 7: NEW PRODUCT DEVELOPMENT & DIFFUSION

### 7.1 KEY DEFINITIONS

**INNOVATION:** Changes customer's life meaningfully

**INVENTION:** Creative output (may not reach market)

**DISCOVERY:** Finding something that exists

**IDEA:** Changes nothing until implemented

**EXAMPLE - Kodak:** INVENTED digital camera (1975) but never made it an INNOVATION for them.

### 7.2 NPDP - 8 STAGES

1. Idea Generation → 2. Idea Screening → 3. Concept Development & Testing → 4. Marketing Strategy → 5. Business Analysis → 6. Product Development → 7. Test Marketing → 8. Commercialization

**EXAMPLE - Pampers:** P&G researcher experienced diaper inconvenience. After 6 YEARS of R&D, launched Pampers in 1961.

### 7.3 INNOVATION EXAMPLES

**EXAMPLE - Domino's Unthinkable Pizza:** India's first plant protein-based pizza. 100% vegetarian but tastes like chicken. New category creation.

**EXAMPLE - Paper Boat Festival Drinks:** Thandai for Holi (North), Panakam for Rama Navami (South), Kacchi Lassi for Baisakhi, Rose Sherbet for Ramzan. Connected traditional beverages with occasions.

### 7.4 ADOPTION PROCESS

FIVE STAGES: Awareness → Interest → Evaluation → Trial → Adoption

**EXAMPLE - Electric Cars:** Awareness (see Tesla ads) → Interest (Google, read reviews) → Evaluation (compare Nexon vs XUV400) → Trial (test drive) → Adoption (purchase, recommend)

### 7.5 ADOPTER CATEGORIES

**1. INNOVATORS (2.5%):** Tech enthusiasts, first to try (pre-order iPhones)

**2. EARLY ADOPTERS (13.5%):** Opinion leaders, thoughtful adoption (tech YouTubers)

**3. EARLY MAJORITY (34%):** Adopt when proven, mainstream begins

**4. LATE MAJORITY (34%):** Skeptical, wait for prices to fall

**5. LAGGARDS (16%):** Tradition-bound, adopt only when necessary

**IMPORTANT:** Target EARLY ADOPTERS first, not mass market. Let them influence majority.

## COMPREHENSIVE EXAM SUMMARY

### KEY DEFINITIONS

**Marketing:** Creating, communicating, delivering, exchanging value

**Marketing Myopia:** Short-sighted focus on product vs customer needs (Levitt)

**Need/Want/Demand:** Basic requirement / Specific form / Want + Purchasing power

**Segmentation:** Dividing heterogeneous market into homogeneous groups

**Targeting:** Selecting which segments to serve

**Positioning:** Creating distinctive place in customer's mind

**POP/POD:** Points of Parity (must-haves) / Points of Difference (unique)

**PLC:** Product Life Cycle stages

**Adoption Process:** Awareness → Interest → Evaluation → Trial → Adoption

### KEY FRAMEWORKS

- PEST-ND: Political, Economic, Socio-cultural, Technological, Natural, Demographic
- 4Ps: Product, Price, Place, Promotion
- 4Cs: Customer value, Cost, Convenience, Communication
- New 4Cs: Co-creation, Currency, Communal Activation, Conversation
- 5C: Customers, Competitors, Collaborators, Company, Context
- 5 Product Levels: Core → Basic → Expected → Augmented → Potential
- PLC: Introduction → Growth → Maturity → Decline
- Adopters: Innovators (2.5%) → Early Adopters (13.5%) → Early Majority (34%) → Late Majority (34%) → Laggards (16%)

### IMPORTANT THEORISTS

**Theodore Levitt:** Marketing Myopia

**Peter Drucker:** 'Make selling superfluous'

**Al Ries & Jack Trout:** Positioning

**Jerome McCarthy:** 4Ps

**Robert Lauterborn:** 4Cs

### BEST EXAMPLES BY TOPIC

**Marketing Myopia:** Kodak, Nokia, HMT

**PEST-Political:** ITC 85% warning, Swachh Bharat

**PEST-Economic:** 7th Pay Commission = car sales boost

**PEST-Socio-cultural:** Mela marketing, Philips LED Ganesh

**Segmentation:** Taj Hotels (4 brands), ITC Right Shift (45+)

**Positioning:** Volvo (Safety), Dove (moisturizer), Liril (Freshness)

**PLC-Growth:** EVs, OTT, Smart watches

**PLC-Decline:** Feature phones, DVDs, Landlines

**Omnichannel:** Tanishq (90% online leads, offline conversion)

**Innovation:** Domino's plant pizza, Paper Boat festival drinks

### QUICK MNEMONICS

**Evolution:** P-P-S-M-S-H (Production-Product-Selling-Marketing-Societal-Holistic)

**PEST-ND:** Please Eat Some Tasty Nutritious Dishes

**Segmentation:** GDPB (Geographic, Demographic, Psychographic, Behavioral)

**PLC:** IGMD (Introduction, Growth, Maturity, Decline)

**Adoption:** AIETA (Awareness, Interest, Evaluation, Trial, Adoption)

**Product Levels:** C-B-E-A-P (Core, Basic, Expected, Augmented, Potential)

### LIKELY EXAM QUESTIONS

- Q1: Define Marketing. Explain evolution of marketing concepts.
- Q2: What is Marketing Myopia? Give examples.
- Q3: Explain PEST-ND Analysis with Indian examples.
- Q4: Differentiate Selling vs Marketing concept.
- Q5: Explain STP process with examples.
- Q6: What is Positioning? Explain Perceptual Map.
- Q7: Differentiate POP and POD.
- Q8: Explain 4Ps with examples.
- Q9: What are 5 levels of product?
- Q10: Explain PLC stages and strategies.
- Q11: What is NPDP? Explain 8 stages.
- Q12: Explain Adoption Process and Adopter Categories.
- Q13: What is Omnichannel Marketing?
- Q14: Explain 4C/5C Framework.
- Q15: What is Experience Economy?

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**ALL THE BEST FOR YOUR EXAM!**